Kiwoom Securities (039490 KS)

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Dividends are based on separate earnings

3Q26 net profit of W238.6bn misses consensus by 34.7%

Kiwoom Securities posted 3Q26 net profit attributable to controlling interest of W238.6bn, missing consensus by 34.7%. The miss was driven by the recognition of W72.9bn in investment losses on consolidated funds and higher SG&A expenses due to deferred performance bonuses. **Brokerage commission income** decreased by 44.4% QoQ due to reduced market trading value. **Brokerage interest income** also contracted 5.2% QoQ on lower margin loan and customer deposit balances. However, Kiwoom's margin loan market share expanded from 12.6% in 2Q26 to 13.0% in 3Q26, with the company faring well relative to the contraction in overall stock market funds. **Trading and financial instrument income** dropped sharply QoQ, but was better than expected. Prop trading and investment income came to W105.1bn, as solid forex valuation gains offset sluggish equity and derivatives-related returns. **SG&A expenses** decreased by 11.2% QoQ, significantly less than the 27.5% drop in net operating revenue, as the recognition of deferred performance bonuses limited the reduction in expenses**. The consolidated-to-separate net profit gap** came to W37bn, which stems from sluggish combined subsidiary earnings of W25.6bn and the W72.9bn loss on consolidated funds.

US subsidiary begins direct brokerage; targets 10% share by year-end

Kiwoom's US subsidiary has officially launched direct brokerage services, with a target of handling 10% of the firm's overseas equity trading value by end-2026. In the mid to long term, we believe it will be able to handle up to 50% of total volume. As such, the 1bp commission rate previously paid to local brokers will drop to around 0.1bp. As of 3Q26, a 1bp reduction in overseas equity commission rates led to W7.56bn in savings, and assuming a 10% volume share, annual cost savings of about W3bn are expected.

Potential implementation of capital reduction dividends in 2027

The company is expected to continue meeting the requirements for classification as a high-dividend company and plans to increase its total dividend by 10% YoY annually. However, with next year's earnings expected to decline due to lower trading value, it is highly likely to bring forward its plan to introduce capital reduction dividends to 2027 from the original deadline of 2028 outlined in its shareholder return policy. The expected dividend yield for 2026 is 8.9%.

Maintain BUY; revise down target price by 12.8% to W410,000

We revise down our target price by 12.8% to W410,000, reflecting the 3Q26 earnings miss.

BUY (M)

Target price	W410,000 (Down)
Previous target price	W470,000
Current price (Oct 30)	W219,500
Upside potential	87%

Market cap (Wbn)	5,757
Shares outstanding	26,228,316
Avg daily T/O (2M, Wbn)	22
Avg daily volume (2M, shrs)	84,339
52-week high/low (won)	495,500 / 210,000
Foreign ownership (%)	30.04%
Dividend yield (%)	10.00%
Major shareholders	DAOU Technology & others

Stock performance

(%)	1M	3M	12M
Absolute	(12.7)	(15.1)	(26.7)
Relative	4.1	(17.1)	(47.7)
Abs (US$)	(11.5)	(8.5)	(21.6)

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Net operating revenue	711	15.9	-37.3	742	-4.1
SG&A expense	305	48.9	-11.6	267	14.2
OP	406	-0.7	-48.5	475	-14.5
Pre-tax profit	393	-10.6	-50.2	494	-20.6
Consolidated NP	239	-26.0	-64.9	382	-37.6
Net profit, CI	238.6	-25.9	-64.9	366	-34.7

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Net operating revenue	1,846	2,396	3,480	3,203
Operating profit	1,098	1,488	2,224	2,005
Net profit, CI	835	1,114	1,692	1,489
P/E (x)	3.7	6.9	3.6	4.0
P/B (x)	0.55	1.14	0.72	0.64
ROE (%)	16.0	18.1	22.2	16.6
ROA (%)	1.6	1.6	1.8	1.3

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Kiwoom Securities: quarterly earnings (consolidated)

(Wbn, %)	3Q26P	Consensus	vs consen	YoY	QoQ	3Q25	2Q26
Net op revenue	711	742	-4.1	15.9	-37.3	614	1,134
OP	406	475	-14.5	-0.7	-48.5	409	789
Net profit, CI	238.6	365.6	-34.7	-25.9	-64.9	322	680.1

Note: CI = controlling interest
Source: company data, Yuanta Securities

Kiwoom Securities: earnings (separate)

(Wbn, %, %p)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E
Net op revenue	455	537	519	528	732	983	713	669	2,038	3,098
Commission income	203	251	249	319	366	509	329	358	1,023	1,562
Brokerage	137	157	173	220	289	404	225	271	688	1,189
Wealth management	4	5	3	3	4	5	4	3	15	16
IB and other	62	89	74	96	73	100	99	84	320	357
Interest income from brokerage	130	135	157	173	189	226	214	202	595	830
Trading and financial instrument income	144	209	132	100	189	299	174	125	585	787
Dividend/distribution	40	53	29	61	65	88	36	55	183	243
Gains on disposal/evaluation	60	114	58	7	101	209	129	65	239	503
Interest income from trading	44	41	45	33	23	2	9	5	163	40
Other OP	-22	-58	-19	-64	-11	-51	-3	-16	-164	-81
SG&A expense	159	164	159	231	198	292	259	292	713	1,041
OP	295	374	360	297	535	691	454	377	1,325	2,057
Non-operating OP	12	59	11	50	64	99	-5	5	132	164
Pre-tax profit	308	432	371	346	599	790	448	382	1,457	2,220
Separate net profit	230	337	276	256	443	678	276	281	1,099	1,679
Consolidated net profit, CI	235	310	322	247	476	680	238.6	297	1,114	1,692
ROE (consolidated, %)	16.8	21.3	20.7	15.0	27.9	37.5	12.0	14.1	18.1	22.2
ROA (consolidated, %)	1.6	1.9	1.8	1.3	2.2	2.7	0.9	1.2	1.6	1.8
Equity (consolidated)	5,631	6,015	6,414	6,704	6,962	7,559	8,283	8,535	6,704	8,535
Assets (consolidated)	60,379	67,028	72,326	81,174	94,045	108,341	97,849	108,754	81,174	108,754

Note: CI = controlling interest
Source: company data, Yuanta Securities

Kiwoom Securities: valuation table

	Formula	Unit	Old (Sep 10, 2026)	New (Nov 2, 2026)	Note
Cost of equity (COE)	(C=a+(b*c)+d)	%	15.0	15.7	
Risk-free rate	(a)	%	3.2	3.4	Monetary stabilization bond 1yr 3M
Risk premium	(b)	%	5.1	5.1	
Beta	(c)		1.20	1.28	104-week adjusted beta
Ri	(d)	%	5.68	5.80	Reflected additionally given past COE
Average ROE	(B)	%	19.3	18.3	2026-2028 average ROE
Permanent growth	(D)	%	4.4	4.5	Min (ROE x retention ratio, KTB 30yr 3M yield)
Target P/B	(A=(B-D)/(C-D))	X	1.41	1.23	
12-mo-fwd BPS	(E)	won	333,837	333,219	
Target price	(A*E)	won	**470,000**	**410,000**	
Current price (Oct 30)		won		219,500	
Upside potential		%		86.8	

Source: company data, Yuanta Securities

Kiwoom Securities: earnings forecast revision

(Wbn, %)	Old		New		Difference	
	2026E	2027E	2026E	2027E	2026E	2027E
Net op revenue	3,408	3,203	3,480	3,203	2.1	0.0
OP	2,232	2,005	2,224	2,005	-0.4	0.0
Net profit, CI	1,762	1,491	1,692	1,489	-4.0	-0.1

Note: CI = controlling interest; Source: Yuanta Securities

Subsidiary earnings table (net profit)

(Wbn)	2024		2025				2026		
	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q
Kiwoom Savings	-3.2	2.9	-6.6	0.3	-6.9	-2.6	-0.9	0.2	5.1
Kiwoom Yes	-3.4	-21.4	-5.9	-7.8	-2.5	-6.2	-3.4	-1.3	2.7
Kiwoom Capital	6.7	4.6	10.5	14.1	16.4	5.5	31.7	21.2	19.3
Kiwoom F&I	1.7	0.8	4.3	5.5	4.2	4.3	10.1	5.1	1.3
Kiwoom Asset	8	4.9	1.5	14.4	14.6	6.4	12.5	29.1	-3.1
Kiwoom PE	-0.7	0.2	-0.4	0.2	0.9	1.3	-8.3	-1.8	0.1
Kiwoom Investment	3.7	0	0.2	1.9	6.7	3.5	18.1	-0.3	0.8
Kiwoom Indonesia	-2.1	-1.9	-1.6	0.1	-1.3	-0.9	-1	-1.8	-0.6
Others (invst partnerships, funds)	-8.1	2.7	3.3	0	0	0	0	0	0
Total	2.6	-7.2	5.3	28.7	32.1	11.3	58.8	50.4	25.6

Source: company data, Yuanta Securities

Kiwoom Securities (039490 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of financial position (consolidated)

(Wbn)	2024A	2025A	2026E	2027E	2028E
Cash and deposits	1,722	2,300	2,684	2,767	2,907
Financial assets at FVTPL	30,310	47,194	62,541	64,917	68,955
Available-for-sale financial assets	517	858	1,090	1,112	1,180
Investments in subsidiaries	869	1,340	1,248	1,394	1,612
Loans and receivables	18,127	23,324	28,946	29,689	30,951
Margin loans	3,436	3,436	3,464	3,719	4,154
Loans and receivables	0	0	0	0	0
Tangible/intangible/other assets	4,143	6,158	12,245	12,699	13,470
Assets	55,688	81,174	108,754	112,577	119,076
Deposits	15,712	22,101	25,342	23,293	23,705
Financial liabilities at FVTPL	5,607	10,646	15,100	15,553	16,024
Derivatives-linked securities sold	3,665	6,874	8,259	8,594	8,943
Borrowings & bonds payable	21,514	30,528	40,840	45,367	50,036
Borrowings	2,913	3,318	3,439	3,439	3,439
Notes issued (ultra-large IB)	0	334	3,216	6,016	8,816
Debentures issued	3,496	4,759	5,970	5,970	5,970
Subordinated debentures	100	100	100	100	100
Other	3,728	6,417	12,946	12,946	12,946
Liabilities	50,057	74,451	100,198	103,129	108,681
Controlling interest	5,588	6,704	8,535	9,427	10,373
Capital stock	145	145	144	144	144
Capital surplus	1,039	1,039	1,000	1,000	1,000
Hybrid bond	0	0	400	400	400
Retained earnings	4,537	5,340	6,651	7,550	8,496
Other	-134	180	340	332	333
Non-controlling interest	44	18	22	22	22
Equity	5,632	6,722	8,556	9,448	10,394

Statement of comprehensive income (consolidated)

	2024A	2025A	2026E	2027E	2028E
Operating revenue	11,280	17,122	36,879	22,405	25,297
Fee/commission income	1,050	1,382	2,195	2,129	2,272
Brokerage	716	891	1,502	1,390	1,463
Wealth management	28	33	47	45	47
IB/other	306	458	646	694	762
Interest income	1,711	1,886	2,344	2,400	2,459
Financial instruments	8,299	13,582	31,937	17,423	20,112
Other	219	271	404	452	453
Operating expense	10,182	15,633	34,656	20,400	23,160
Fee/commission expense	247	335	553	548	570
Interest expense	1,088	1,110	1,537	1,476	1,517
Financial instruments	7,779	12,939	31,022	16,735	19,366
Other expense	321	341	287	443	460
SG&A expense	748	908	1,257	1,198	1,248
Operating profit	1,098	1,488	2,224	2,005	2,137
Non-operating profit	-6	52	23	16	16
Pre-tax profit	1,092	1,541	2,247	2,021	2,153
Net profit	835	1,115	1,694	1,489	1,586
Net profit, CI	835	1,114	1,692	1,489	1,586

Capital adequacy indicators

(%)	2024A	2025A	2026E	2027E	2028E
Asset/net asset ratio	9.9	12.1	12.7	11.9	11.5
New NCR	1,302	1,549	1,825.1	2,218.3	2,569.1
Old NCR	194	177	167.5	179.7	187.6

Statement of comprehensive income (separate)

(Wbn)	2024A	2025A	2026E	2027E	2028E
Operating revenue	1,605	2,038	3,098	2,839	3,014
Fee and commission income	753	1,023	1,562	1,478	1,577
Brokerage	527	688	1,189	1,097	1,154
Wealth management	12	15	16	14	15
IB & other	214	320	357	368	408
Interest income from brokerage	541	595	830	847	857
Trading and fin instr income	459	585	787	582	647
Dividend/distribution	150	183	243	251	263
Gains on disposal/evaluation	162	239	503	297	343
Interest income from trading	147	163	40	34	41
Other	-148	-164	-81	-68	-67
SG&A expense	580	713	1,041	974	1,017
Operating profit	1,025	1,325	2,057	1,865	1,997
Pre-tax profit	1,090	1,457	2,220	1,917	2,049
Net profit	815	1,099	1,679	1,411	1,508

Growth indicators

(%)	2024A	2025A	2026E	2027E	2028E
Assets	7.0	45.8	34.0	3.5	5.8
Liabilities	6.2	48.7	34.6	2.9	5.4
Equity	14.8	19.4	27.3	10.4	10.0
Controlling interest	15.0	20.0	27.3	10.5	10.0
Net operating revenue	59.2	29.8	45.2	-8.0	5.7
SG&A expense	25.7	21.4	38.4	-4.7	4.1
Operating profit	94.5	35.5	49.4	-9.8	6.6
Pre-tax profit	86.7	41.1	45.8	-10.1	6.5
Net profit	89.4	33.5	51.9	-12.1	6.5

Revenue contribution (separate)

(%)	2024A	2025A	2026E	2027E	2028E
Brokerage/related interest income	66.5	62.9	65.2	68.5	66.8
Wealth management	0.8	0.7	0.5	0.5	0.5
Underwriting/other	13.3	15.7	11.5	12.9	13.5
Trading income (incl interest)	28.6	28.7	25.4	20.5	21.5
Other	-9.3	-8.0	-2.6	-2.4	-2.2
Operating expense ratio	36.1	35.0	33.6	34.3	33.8

Major indicator assumption

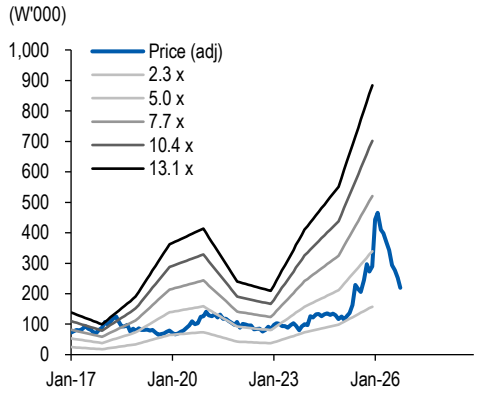
(Wtn)	2024A	2025A	2026E	2027E	2028E
KOSPI market cap	2,146	2,554	5,393	5,796	5,862
Average daily turnover (ADT)	10.7	16.9	52.9	44.4	45.3
KOSDAQ market cap	390	413	522	449	494
ADT	8.4	9.3	13.1	10.3	11.4
Market ADT	19.1	26.2	66.0	54.7	56.7
Turnover (%)	184	214	272	218	220

Investment indicator (consolidated)

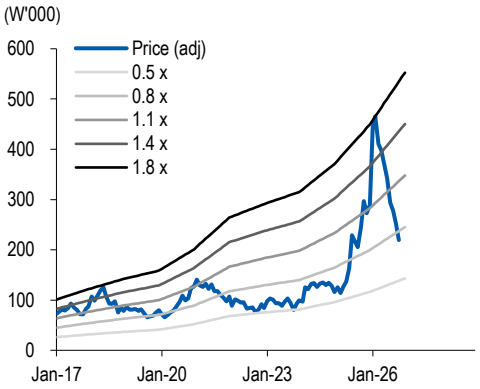
	2024E	2025E	2026E	2027E	2028E
ROE (%)	16.0	18.1	22.2	16.6	16.0
ROA (%)	1.6	1.6	1.8	1.3	1.4
EPS (won)	31,393	42,190	64,933	58,714	62,534
BVPS (won)	210,068	254,008	327,472	371,683	408,978
DPS (won)	7,500	11,500	19,500	21,450	23,595
P/E (x)	3.7	6.9	3.6	4.0	3.8
P/B (x)	0.55	1.14	0.72	0.64	0.58

Note: CI = controlling interest
EPS, BPS, P/E and P/B are based on controlling interest.
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price.
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior.
Source: Company data, Yuanta Securities

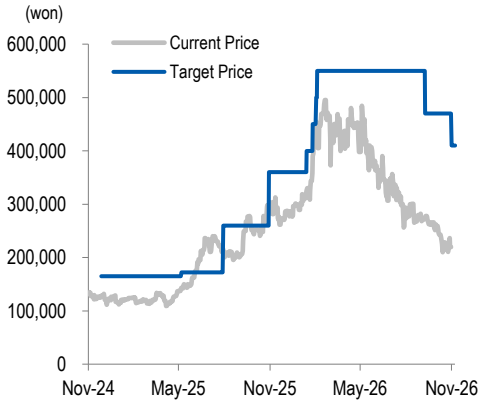
P/E band chart



P/B band chart



Kiwoom Securities (039490 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	BUY	410,000	1 yr		
2026/09/10	BUY	470,000	1 yr	-48.27	-40.85
2026/02/05	BUY	550,000	1 yr	-31.90	-9.91
2026/02/03	BUY	500,000	1 yr	-11.20	-11.20
2026/01/27	BUY	450,000	1 yr	-6.58	-1.44
2026/01/15	BUY	400,000	1 yr	-17.54	-10.38
2025/10/31	BUY	360,000	1 yr	-19.48	-10.42
2025/07/31	BUY	260,000	1 yr	-8.66	15.19
2025/05/08	BUY	172,000	1 yr	14.88	39.53
2024/02/05	BUY	145,000	1 yr	-13.86	-7.03

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 02, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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